

Document A — Project Status Report

Exercise 2, Round 1 (Summarize). Fictional. Meridian Technical Services.

**MERIDIAN TECHNICAL SERVICES Project Status Report — Harbour Point Vessel
Recertification Reporting period: Q2 · Prepared by: Programme Office · Distribution:
Internal**

1. Background

Meridian Technical Services (MTS) was engaged by Harbour Point Industries in January to recertify 214 pressure vessels across three sites following a change to the applicable inspection standard. The engagement covers documentation review, non-destructive examination, remediation recommendations, and issue of recertification records. The contract value is £2.4m over eighteen months, structured in three phases with a client gate review at the end of each.

Phase 1 (documentation review and inventory reconciliation) was scheduled for completion at the end of Q1. Phase 2 (examination and testing) is scheduled to run Q2 through Q4. Phase 3 (remediation oversight and records issue) closes the engagement.

2. Progress this period

Phase 1 completed six weeks late, on 14 May rather than the planned 31 March. Phase 2 commenced on a staggered basis from 22 April, with examination teams mobilised to Site A and Site B while Site C documentation was still being reconciled.

As of the end of the period, 61 of 214 vessels have completed examination. This is against a plan of 84. Examination throughput has stabilised at approximately 11 vessels per week across the two mobilised teams, which is close to the planned rate of 12; the shortfall is entirely attributable to the late start rather than to productivity.

Site C mobilisation is now scheduled for 8 July.

3. The documentation problem

The principal cause of the Phase 1 overrun was the condition of the client's documentation. The tender assumed a complete and current vessel register with linked design and inspection history. What was found was materially different:

- 31 vessels had no design documentation traceable in the client's system. Records were eventually located in three separate archives, one of which was a physical store at a decommissioned site.
- 47 vessels carried conflicting identification between the maintenance system and the physical asset tags. Reconciliation required a site walk-down that was not in scope.

- 12 vessels in the register could not be located at all. Nine were subsequently confirmed as disposed of in 2019 without register update. Three remain unaccounted for and have been escalated to the client.
- The inspection history for approximately a third of the population exists only as scanned PDFs of handwritten records, many of poor legibility.

Approximately 340 additional person-hours were expended on reconciliation beyond the tendered allowance. A variation request covering this work was submitted on 2 May and remains unanswered at the time of writing.

4. Technical findings to date

Of the 61 vessels examined, 52 have been recommended for recertification without remediation. Seven require minor remediation, principally coating repair and replacement of gasket sets, and are expected to clear on re-examination.

Two vessels — HP-A-118 and HP-A-141 — have been found to exhibit wall thinning beyond the allowable limit at the lower circumferential weld. Both have been reported to the client under the immediate notification provisions and taken out of service pending client decision. The pattern of thinning is consistent between the two units and both were manufactured in the same batch. There are a further 19 vessels from that batch in the population, of which 4 have already been examined and cleared.

The programme office recommends that the remaining 15 vessels from that batch be brought forward in the examination sequence. This has been raised with the client and is awaiting direction.

5. Commercial position

The engagement remains within the contracted value but the margin position has deteriorated. The unrecovered reconciliation effort represents approximately £41,000 at cost. If the variation is not accepted, projected margin at completion falls from 18% to approximately 12%.

Invoicing is current. The client has paid all submitted invoices within terms.

The Phase 1 gate review was held on 22 May and passed with two actions, both closed.

6. Schedule position

Completion is currently forecast at seven weeks beyond the contracted date. Two mitigation options have been assessed:

- **Third examination team.** Would recover approximately five of the seven weeks. Cost approximately £95,000, not recoverable under the current contract structure. Requires a variation.
- **Extended working at Sites A and B.** Would recover approximately three weeks at a cost of approximately £30,000, with a fatigue-management assessment required before it can be approved.

Neither option has been authorised. A decision is requested by 15 July; beyond that date the third-team option becomes ineffective because of mobilisation lead time.

7. Risks

- **Variation not accepted (high likelihood, high impact).** Unrecovered cost, and a precedent for the Site C reconciliation which is expected to present similar problems.
- **Batch issue extends (medium likelihood, high impact).** If a significant proportion of the remaining 15 batch vessels fail, the remediation scope grows well beyond the Phase 3 allowance and the client's operational position becomes difficult.
- **Site C documentation (high likelihood, medium impact).** No reason to expect Site C to be in better condition than Sites A and B. Mobilisation on 8 July may slip again.
- **Key person dependency (medium likelihood, medium impact).** The lead examiner for the batch investigation is the only person on the engagement qualified for that examination method. No cover is currently identified.

8. Actions requested of the client

1. Response to the variation request of 2 May.
 2. Direction on bringing forward the remaining 15 batch vessels.
 3. Decision on schedule mitigation by 15 July.
 4. Confirmation of the status of the three unaccounted vessels.
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End of report.